

ENGLISH **LIVE**

31

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 31

9th MARCH, 2017

Finance Calls for Unified Regulation

The spat between Sebi and the RBI underlines it

Too much need not be read into a letter from markets regulator Sebi to banking regulator RBI on the latter's direct instructions to market participants in relation to trading in HDFC Bank shares. Sebi is in the right. The conduct of trade in securities is its business. The RBI, as the regulator for banks, is responsible for maintaining sectoral foreign investment caps. When the possibility of foreign investment in HDFC Bank breaching the permitted cap became clear, the RBI intervened to ask custodians to not clear trades any further. At first blush, it would seem that the right thing would have been for the RBI to ask Sebi to act. However, that is not the ideal solution.

The ideal solution is not for different regulators of the financial sector to cooperate, each minding the other's turf. The ideal solution is to have unified regulation of the financial sector, eliminating the question of turf transgression or unregulated no-man's land in financial markets. Financial markets intersect with one another,



the more developed they are. Credit default swaps (CDS) insure against the possibility of a bond holder not being paid when the time comes for its redemption. After the 2008 financial crisis, the effort has been to make credit default swaps guaranteed by a counterparty, as far as possible. That means

CDS should come under the purview of the markets regulator, although they are quintessentially insurance products. India took a significant step forward towards unified regulation when a separate commodities regulator was scrapped and Sebi was given charge of regulating commodity markets. We still have some way to go, to reach the ideal of unified regulation.

Unified regulation does not mean one node of regulatory authority. A financial conduct authority should supervise all financial markets but should, itself, function informed by the advice of a macroprudential regulator. From a single bank's point of view, the sensible thing might be to freeze lending, in a particular situation, but a macroprudential imperative might prod it to lend more, to prevent a systemic crisis.

THE ECONOMIC TIMES

7th March, 2017



DISCUSSION ON
9th March (Today)



DISCUSSION ON
10th March (tomorrow)

To Make Every Single Day Women's Day

Democracy remains the key to women's equality

International Women's Day serves to remind us, lost, as we tend to be, in the hurly-burly of daily toil, of a vital goal of equality that has not only not been achieved ever since it was recognised as a vital part of social emancipation but appears as remote today as it was a decade ago. Gender equality should not be the concern of women alone, but of all citizens who want to live in a democratic polity and an equitable society. Sure, this cannot be achieved by dedicating one day to the cause. But that one day should serve to re-examine the work agenda towards equality and rededicate every organisation to this goal.

In India, the next step towards gender justice varies, depending on one's location. In some parts, it is ending female foeticide and getting girls into schools. In some circles, it is progressing to paternity leave. In some religions, it is ending bias rooted in personal law, in others, it is bringing tradition and practice in line with reformed laws. In a place like Nagaland, customary law precludes



women from political leadership, putting it at odds with the basic spirit of the Constitution. Unlike in countries with a relatively more even spread of social development, in India, the relative liberation of working women, especially those in the organised sector, from the drudgery of unpaid, unrecog-

nised domestic work comes at the expense of less fortunate women, who are still redeemed from abject poverty by the menial jobs they perform at other people's homes. But all women live under the shadow of sexual violence in India, whether actresses, call centre executives working late in the office or returning home at dusk, rural women stepping out to relieve themselves or just about any woman deemed, as per the norms of patriarchal tradition, to be transgressing codes of propriety in terms of dress, place, time or the gender of her companion.

Yes, there are horrid acid attacks by spurned men, but there are also women who increasingly break the glass ceiling or fight back against sexual harassment at the workplace. Stronger democracy is what all women need, along with men.

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Finance Calls for Unified Regulation

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- The **spat** between SEBI and the RBI underlines it
- Too much need not be read into a letter from markets regulator SEBI to banking regulator RBI on the latter's direct instructions to market participants in relation to trading in HDFC Bank shares. SEBI is in the right. The conduct of trade in securities is its business.
- The RBI, as the regulator for banks, is responsible for maintaining sectorial foreign investment caps. When the possibility of foreign investment in HDFC Bank **breaching** the permitted **cap** became clear, the RBI **intervened** to ask **custodians** to not clear trades any further.
- At first **blush**, it would seem that the right thing would have been for the RBI to ask SEBI to act. However, that is not the ideal solution. The ideal solution is not for different regulators of the financial sector to cooperate, each minding the other's **turf**.
- The ideal solution is to have **unified** regulation of the financial sector, eliminating the question of turf **transgression** or unregulated no-man's land in financial markets. Financial markets **intersect** with one another, the more developed they are.
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- India took a significant step forward towards unified regulation when a separate commodities regulator was **scrapped** and SEBI was given charge of regulating commodity markets. We still have some **way to go**, to reach the ideal of **unified** regulation.
- Unified regulation does not mean one node of regulatory authority. A financial conduct authority should supervise all financial markets but should, itself, function informed by the advice of a **macro prudential regulator**.
- From a single bank's point of view, the sensible thing might be to **freeze** lending, in a particular situation, but a macro prudential **imperative** might **prod** it to lend more, to prevent a **systemic** crisis.

PREAMBLE OF RESERVE BANK OF INDIA



“To regulate the issue of bank notes and keeping of reserves with a view to secure monetary stability in India and generally to operate the currency and credit system of the country to its advantage”

SALIENT POINTS

- As per RBI Act, 1934
- Established on April 1, 1935
- Initial headquarters is in Calcutta
- Shifted to Mumbai in 1937
- Originally privately owned
- Nationalized in 1949
- Fully owned by Government of India
- Office is on Mint Street, Mumbai
- Governed by the Central Board of Directors
- 19 regional offices and 8 sub-offices





भारतीय प्रतिभूति और विनियम बोर्ड
Securities and Exchange Board of India



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LEARNING / SPACE

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Spat

Spat over trivial issues is quite common in our country.



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Spat

A brief petty quarrel or angry outburst

Spar

*Rajesh and Kumar **spar** with each other at meetings, but frankly speaking, they are good friends for the past 20 years.*

**Spar**

To argue with someone in a friendly way

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LEARNING SPACE

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DEBIT CARD BREACH



SECURITY BREACH



Cap



*Limit on the amount
of money that can
be charged*

Cap

Intervene

*RBI **intervenes** rarely in the foreign exchange market to stem excessive volatility. It is known as managed float.*



Intervene

To involve in a difficult situation in order to improve it or prevent it from getting worse

Custodian

*The **custodian** of shares and bonds must get the approval of the capital market regulator, Securities and Exchange Board of India (SEBI).*



Custodian

Someone / some organization who has the legal right to manage and look after another person's money or investments

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Blush

*The poor boy from a slum area was **blushing** when the principal called him to come up to the dais to collect his prize.*



Blush

Face becomes pink, normally from embarrassment

Turf**Turf**

*Normally, meetings in railways
end up in failure as everyone
will try to defend his/her own
turf.*

Turf

An area of activity in which a person or company has a lot of knowledge and experience and which they believe belongs to them

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LEARNING SPACE

...Transforming Human Lives

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...Transforming Human Lives

Unified

*No business / organization
can survive without a
unified vision in terms of
goals and strategic
direction.*



Unified

Involving several people, organizations that all work together

Transgression

*The law enforcing authorities in our country sometimes come under the criticism that they are **transgressing** their powers.*



Transgression

Exceeding laid out boundary / limits

Intersect



Intersect



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Securities and Exchange Board of India

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Intersect

If two aspects intersect, they have an effect on each other

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Credit Default Swap (CDS)

- *It is designed to transfer the credit exposure of bonds / debentures.*
- *It is in the form of insurer, who takes risk*



Credit Default Swap (CDS)

Quintessential

Cauvery Water dispute is the **quintessential** example of river water disputes, being that is only one amongst many.



Quintessential

Being the most typical example or most important part of something

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LEARNING SPACE

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Scrap



*Govt. decided to **scrap** FIPB*

Scrap

Discarded metal

Scrap

To not continue with a system



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Securities and Exchange Board of India

FORWARD MARKETS COMMISSION

Government of India
Ministry of Finance
Department of Economic Affairs

***The Forward Markets Commission was merged
with SEBI during 2015.***

A long way to go

*It is **a long way to go** to bring Indian education to the global standards.*



A long way to go

A lot of work to do

Unified

*No business / organization
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Unified

Involving several people, organizations that all work together

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Macprudential regulation

- It is the approach to financial regulation
- It aimed at mitigating the risk of the financial system as a whole
- To look at the systemic risk
- It assumed significance after 2008 financial crisis
- There is growing consensus among the policy makers and economic researchers about the need to re-orient the regulatory framework



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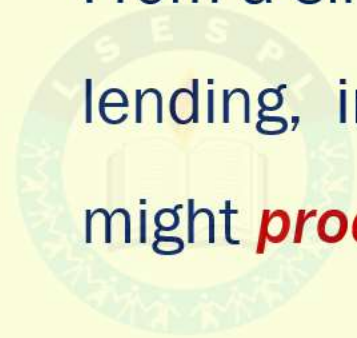
7th March 2017



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LEARNING SPACE

...Transforming Human Lives

Freeze



Freeze

Liquid turns into ice
or solid

Freeze

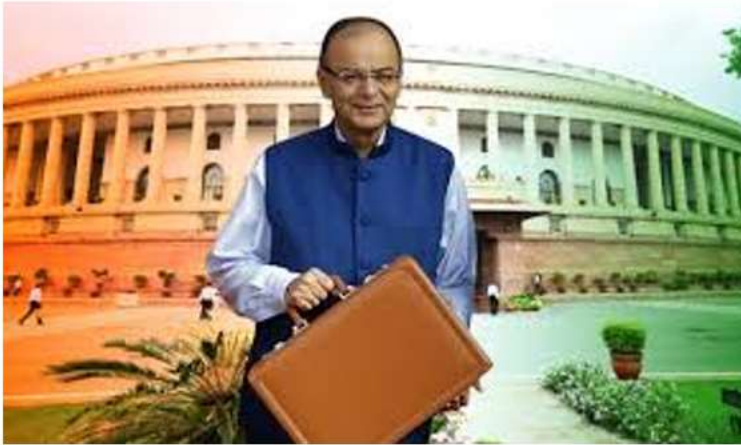
To fix prices, income levels at a
particular level and not allow any
increase

ACC
ACC Limited



*Cement companies in our country frequently resort to malpractices by artificially jacking up cement prices and the need of the hour is to **freeze** the prices of cement at one level.*

Imperative



It is **imperative** to move on to outcome based budget.



After the victory of Donald Trump, it is **imperative** for our country to devise a new ICT policy.

Imperative

Necessary / Urgent / Extremely Important

Prod

LEARNING SPACE

...Transforming Human Lives

*I **prodded** Rajesh in the back to get his attention about the incoming vehicle.*



Prod

To encourage someone to take action, especially when they are being slow or unwilling

Systemic risk



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DISCUSSION ON

10th Mar (tomorrow)

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